Faithful Finances

Week 5: The Investor (Part 1)

The Rules of Engagement

1. No Dumb Questions
2. Wisdom over Law
3. Education, not Advice

The Parable of the Talents

The Faithful: “Well done, good and faithful servant. You have been faithful over a little; I will set you over much.” (Matt 25:21)

The Fearful: “You wicked and slothful servant! … You ought to have invested my money…” (Matt 25:26-27)

The Master's Standard

Preservation: Burying the asset out of fear.

Productivity: Putting the asset to work.

"Stewardship is an engine, not a vault."

The Flow of Stewardship

Work: The Engine.

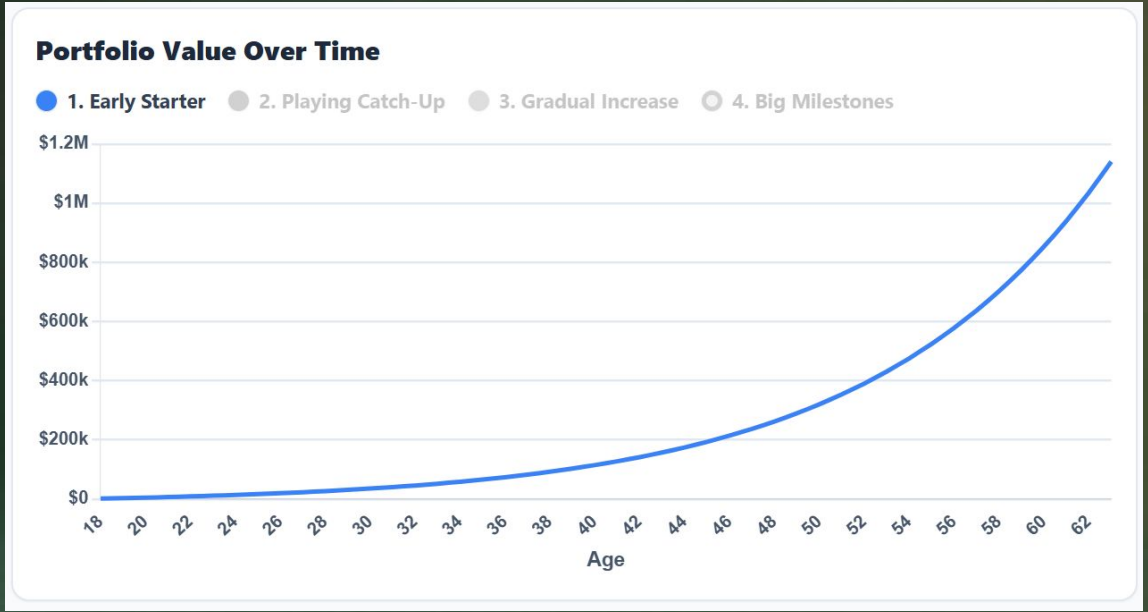
Give: The Priority.

Save: The Shield.

Invest: The Multiplier.

The Ultimate Variable

Time is your greatest asset.



Investing vs. Speculating

Investing: Owning productive assets (Companies, Bonds).

Speculating: Betting on price changes (Crypto, Gold).

Enemy 1: Inflation

The Silent Killer.

Cash loses its purchasing power over time.

Guaranteeing a loss.

Real vs. Nominal Returns

$100 grows to $110 (10% Gain).

Taxes take a cut (-2%).

Groceries now cost $103 (-3% Inflation).

= 5% Real Wealth Growth.

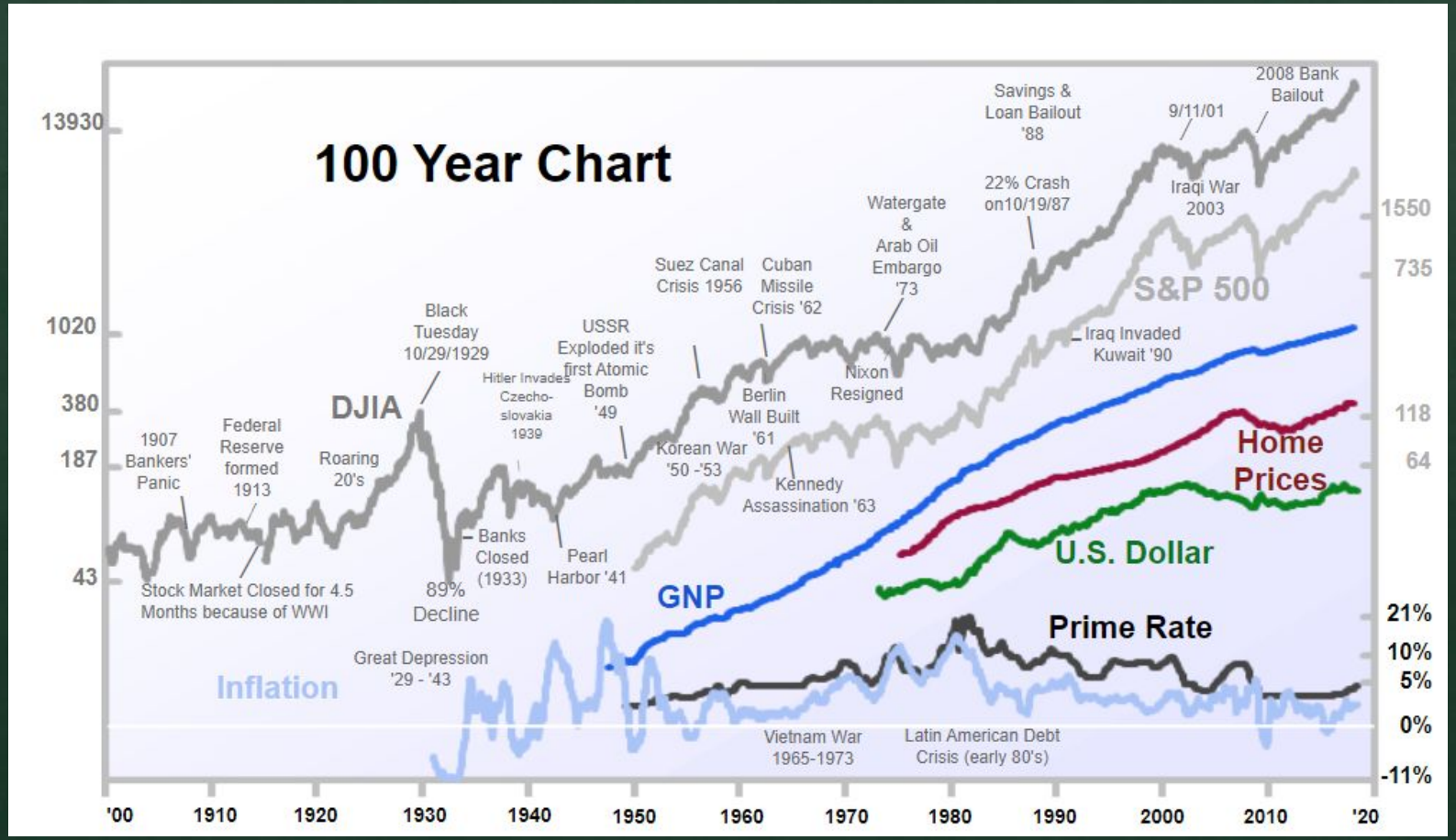
Enemy 2: Volatility

The Loud Killer.

The market goes up and down.

Rule: If you need it next year, fear volatility. If you need it in 20 years, fear inflation.

Enemy 3: Our Emotions



The Contents: Stocks & Bonds

Stocks (Equities): Ownership. High Growth, High Volatility. Appreciation & Dividends.

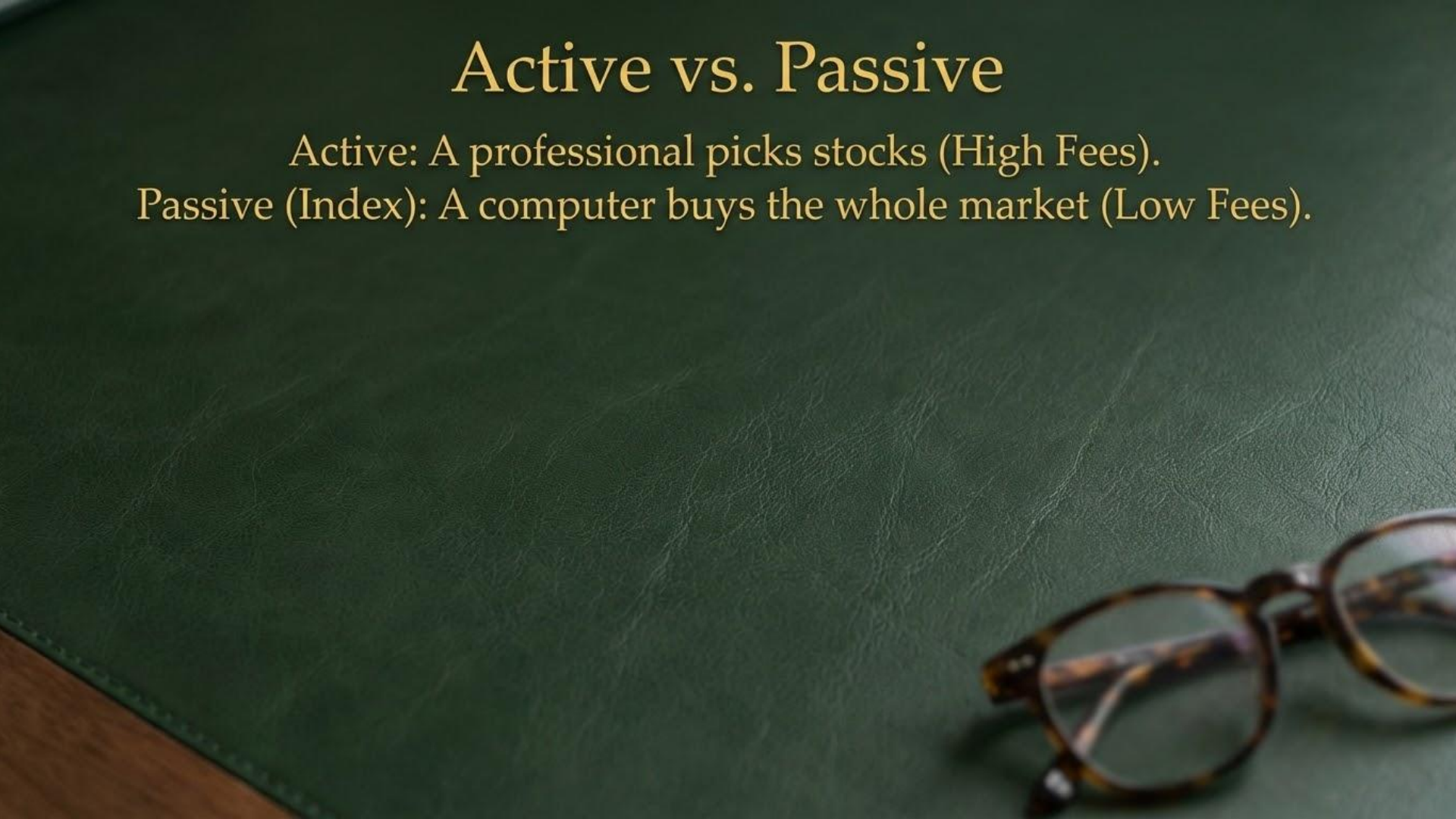
Bonds (Fixed Income): Loaning Money. Lower Growth, Lower Risk. Interest Payments.

Mutual Funds & ETFs

- Avoid Single Stocks.
- Buy “The Basket” for instant diversification.

Active vs. Passive

Active: A professional picks stocks (High Fees).
Passive (Index): A computer buys the whole market (Low Fees).



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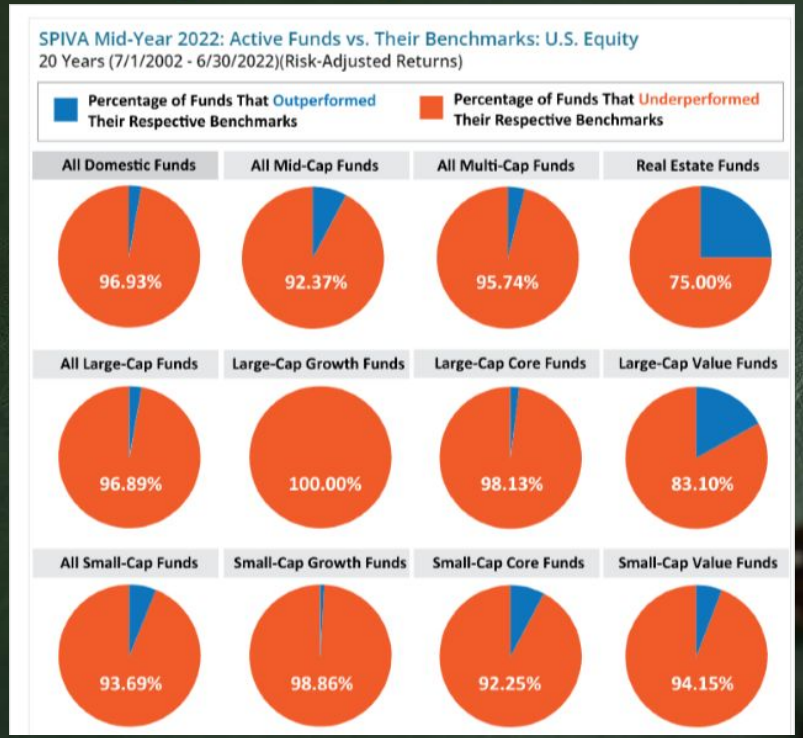

Fund Deep Dive

Summary

The Mandate: Productivity, not just preservation.

The Mindset: Invest in producers; don’t speculate on prices.

The Enemies: Fear inflation long-term; ignore volatility short-term.

The Strategy: Buy “The Basket” (Passive Index Funds).

Next Steps

1. Read: Ecclesiastes 11:1-6.
2. The Login Hunt: Find your 401(k) / IRA login.
3. Explore: Locate your “Expense Ratios”.

Income Illustration

https://jessebaird.github.io/Financial/IncomePercentageIllustration.html